Session 9: Negotiation

Sales 101 (Postgraduate) | Games First, Concepts Second | 90 minutes

Class Agenda

Time	What we are doing
0-04	Objectives and the ethics rule
04-26	Game 1: The Car. Five issues, buyer against seller.
26-44	Concepts, built from what the room just did
44-52	Game 2 setup: the Aarohan renewal. Role sheets and prep.
52-76	Game 2: The Renewal. Six issues.
76-85	Debrief: who created value and who just split it
85-90	Closing questions

Key Objectives

#	Objective	What success looks like
LO1	Explain the difference between distributive and integrative negotiation using something you did yourself.	You can point to a moment in either game where you created value rather than divided it, and name the issue.
LO2	Set a BATNA and a walk-away point before you enter a negotiation, and hold them.	Both written down before the negotiation starts. Your final deal does not cross your walk-away.
LO3	Trade on priorities rather than split the difference.	At least two issues in your final deal were traded, not met in the middle. You can name what you gave and what you got.
LO4	Recognise anchoring shaping a number in real time, including your own.	You can say what the first number in each game was, and whether your outcome moved towards it.

THE ETHICS RULE

You may bluff about your preferences, your priorities and how much you value something. That is negotiating.

You may not invent facts that are not on your role sheet, show anyone your sheet, or state your point values.

Nobody is checking. But a bluff that crosses into invention costs you trust, and trust is worth points.

The Two Games

	Game 1: The Car	Game 2: The Renewal
What it is	A used car sale. One buyer, one seller.	A B2B contract renewal between a benefits platform and a logistics company.
Issues	Five: price, delivery date, warranty, payment terms, accessories.	Six: price per person, coverage, contract length, payment terms, onboarding, claims escalation.
Time	12 minutes to negotiate.	15 minutes to negotiate.
Scored	Yes. Both sides, against a point schedule you will not see until afterwards.	Yes. Same method.
The point	Learn the mechanics on something everyone understands.	Apply them to a deal with real business stakes.

You will be given a confidential role sheet for each game. It tells you what you want and what it is worth to you. Do not show it to anyone.

Before Each Game: Your Prep Sheet

Complete this before the negotiation opens. You hand it in with your result.

Question	Game 1: The Car	Game 2: The Renewal
Your BATNA. What actually happens if there is no deal?		
Your walk-away point		
Your issues, ranked. 1 = matters most.		
Two issues you will give away, and what you want for them		
Two questions you will ask to find out THEIR ranking		

The Concepts

Introduced after Game 1, because by then the room has produced the data that explains them.

BATNA, walk-away, ZOPA

Term	What it is	The mistake
BATNA	Your Best Alternative To a Negotiated Agreement. What actually happens if you walk away.	Assuming you have none. Everyone has one, even if it is bad. Not knowing it is what makes you concede.
Walk-away point	The number at which your BATNA becomes the better option.	Deciding it during the negotiation, under pressure, after the other side has anchored you.
ZOPA	Zone of Possible Agreement. The gap between the two walk-away points.	Assuming there is none and leaving too early. Or assuming there is one when there is not.

THE ORDER MATTERS

BATNA first, then walk-away point, then negotiate. Never the other way round.

A walk-away point arrived at without a BATNA is a guess dressed up as a limit, and you will move it the moment someone pushes.

Anchoring

The first number said out loud pulls the final outcome towards it. It works when both parties know it is happening, and it works when the number is obviously unreasonable. The class data from Game 1 will show this.

- An aggressive anchor with no reason attached invites a counter-anchor and stalls. An anchor with a reason attached moves the midpoint.
- If you are anchored, do not argue with the number. Introduce a different basis for it, then counter.

Distributive and integrative

	Distributive	Integrative
What it is	One issue, or issues both sides value identically. Every rupee you gain, they lose.	Several issues, valued differently by each side.
The move	Claim value. Anchor, concede slowly, know your walk-away.	Create value first, then claim it. Find out what they care about most and trade against it.
Where it shows up today	Price, in both games.	Everything else, in both games.

THE TRAP IN BOTH GAMES

Five issues does not mean five separate price negotiations.

If you split the difference on every issue you have run a distributive negotiation five times and left value on the table. It will feel fair and it will score badly.

Trading means giving away the thing you care least about to win the thing you care most about. You cannot do that without finding out their order — which means asking.

After Each Game

Question	Game 1	Game 2
The first number said out loud, and who said it		
Which issue did you give away most easily, and what did you get for it?		
Which issue mattered most to them? How did you find out?		
Name one trade you could have made and did not.		

Check Your Own Learning

Objecti ve	Check yourself	Tick
LO1	Point to one moment where you created value rather than divided it. Name the issue. If you cannot, you ran a price negotiation five times.	
LO2	Was your walk-away written before the game or during it? Did your final deal cross it?	
LO3	How many issues did you split down the middle? Three or more means you negotiated by arithmetic.	
LO4	In both games, what was the first number said aloud, and did your outcome sit nearer to it than to your own opening?	

THE MOST COMMON WAY TO FAIL THIS SESSION

You reach a deal on every issue, both sides feel it was fair, and you split the difference on all of them.

That is not negotiating, it is arithmetic. It will feel like success and it will score in the bottom band, because you never found out what the other side actually wanted.